

The Financial Statements Analysis

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Abstract:

This study examined and evaluated the role of financial statement analysis in the increasing of the performance of the organization. The major aims of the study were to find empirical evidence of the degree to which effective analysis effects on the performance. Considering the nature of the survey, quantitative methods of research were applied. In attempt to achieve the objectives of the study, several findings were made through the analysis of both the structured and unstructured questionnaire on the management of banks and the financial reports of the sampled accountants in University of Primorska. The data obtained from the Primary and Secondary sources were analysed through collection, sorting and grouping of the data in tables of percentages and frequency distribution.

Keywords:

Financial Statements, Financial Analysing, Performance

Introduction:

Financial statements refer to such statements, which contains financial information about an enterprise. It is the final product of accounting work done during the accounting period – quarterly/ half-yearly/annually.

Financial statements are prepared in monetary terms. Some refer to them as ‘Annual Accounts’, when they are prepared on a yearly basis. However, interim financial statements are prepared for a shorter period, usually a quarter, and hence called ‘Quarterly Financial Statements’.

1. The Meaning of Financial Statements:

The financial statements are prepared by the board of directors for reporting to shareholders in discharge of their stewardship function and hence corporate law enjoins upon them the responsibility of laying down them before annual general meeting of the shareholders so as to give a ‘true and fair view’ of the affairs of the company.

The profit and loss account shall be annexed to the balance sheet and auditor’s report (including the auditor’s separate, special, or supplementary report, if any) shall be attached thereto.

2. The Types of Financial Statements:

Financial data on entities are presented in two basic documents: the Report of Condition (i.e. the balance sheet) and the Report of Income (i.e. the income statement).

1. The Balance Sheet

A bank’s balance sheet presents the institution’s financial condition at a single point in time. Balance sheets are prepared on a particular date- usually the last day of a month, year or quarter .Because balance sheets capture a condition at one point in time, it is useful to compare data for several accounting periods. In this way, trends in the bank’s financial condition over time can be assessed.

Assets cash assets include vault cash, deposits at the Federal Reserve (primarily to meet legal reserve requirements), deposits at other banks (for clearing purposes and also to compensate the other banks for providing currency and coin services),and cash items in the process of collection. All of these four categories of assets have one common feature - namely they earn no interest. As such, bank management should attempt to minimize its investment these assets.

Interest – bearing bank balances, such as short term certificates of deposit at other banks and federal funds sold are highly liquid earning assets. They are generally used as part of the bank’s liquidity management program.

The next major category of bank assets is investment securities. Since banks are generally prohibited from owning equity securities (except in their securities affiliates), the

securities that appear on bank balance sheets are almost entirely debts. Regulations force banks to be lender rather than investors.

Loans, the least liquid of banking assets and the major source of risk, are the largest asset category for most banking institutions as well as the primary source of bank earnings. Loans and lease are classified into the following categories:

- Loans secured by real estate
- Commercial and industrial loans, including loans to depository institutions
- Loans to individuals for household, family, and other personal expeditions
- Loan to finance agricultural production
- All other loans and lease-financing receivables

From gross loans and leases, two deductions are made—unearned income and the reserve for loan and lease losses - to arrive at net loans and leases. Unearned income represents the amount of income that has been deducted from a loan (for example, in the case of a discounted note) but has not yet been recognized as income on the income statement because it is distributed over the life of the note.

The amount in the reserve account reflects an estimate by bank management of probable charge-offs for uncollectible loans and leases on the balance sheet date. Although regulatory authorities are involved in the estimation process, bank management ultimately determines the final valuation of the reserve account. Actual losses are deducted from the reserve account, and recoveries are added back to reserves. The adequacy of the valuation reserve is an important element in the analysis of a bank's risk.

“Other real estate” is any other real estate owned by the bank and usually represents property that has been obtained through collateral foreclosures on problem loans.

The final asset category is all other assets. This includes intangible assets - assets without physical substance—such as good will recognized in business combinations.

Liabilities Bank liabilities consist primarily of the various types of deposit accounts that the institution uses to fund its lending and investing activities.

Depository accounts vary in terms of interest payments, maturity, check —writing privileges, and insurability. Demand deposits are transaction accounts that are payable to the depositor on demand and pay no interest. Now accounts represent the total of all transaction accounts less demand deposits. They are accounts that pay interest and permit check writing but do not include money market deposit accounts. Money market deposit accounts (MMDAS) are savings accounts on which the bank pays market interest and check writing is limited to a certain number of checks per month. The other savings deposits category comprises all savings deposits other than money market deposit accounts and includes regular passbook accounts with no set maturity and overdraft protection plan accounts.

Capital subordinated notes and debentures are actually liabilities but are shown in the capital section because this type of debt has the characteristics of capital in terms of maturity and permanence and can be counted as capital in meeting certain regulatory requirements. “All common and preferred equity” capital is the par value of all common and preferred stock outstanding, surplus or additional paid-in capital (the amount by which the original sale of the stock exceeded par value), undivided profits or retained earnings (all of the institution's earnings since its inception less any dividends paid), and capital reserves (a cushion used to absorb unexpected losses on loans and securities).

2. *The Income Statement*

The income statement, which shows all major categories of revenue and expenditures, the net profit or loss for the period, and the amount of cash dividends declared, measures a firm's financial performance over a period of time, such as a year, quarter or month. The income statement and the balance sheet are integrally related and both should be evaluated when assessing bank performance.

Interest Income loans are the largest asset category for most bank balance sheets, and interest and fees on loans are the primary sources of bank income. This category of revenue, which includes all year-to-date interest and fees on loans, is presented first on the income statement. Income from lease financing is year-to-date income derived from lease financing receivables.

The analyst must realize that income reported on loans and leases are accrued, meaning that it is recognized over the appropriate time period of the loan rather than when cash is actually received. A bank can recognize this income for at least ninety days before the loan goes on non-accrual status.

The income reported is divided into full taxable and tax-exempt portions. The tax exempt amount includes year-to-date income on loan obligations of state and political subdivisions, and tax-exempt income from direct lease financing. The fully taxable amount is total interest and fees on loans and income from lease-financing receivables less tax-exempt income. The estimated tax benefit results from having tax-exempt loan and lease-financing income from municipal loans and leases. It is estimated and added to income in order to improve the comparability of interest income among different banks over several times.

Interest Expense: Interest expense is the largest expense for most banks. Interest expense is allocated into six categories:

- Interest paid on time deposits
- Interest on other deposits;
- Interest expense on federal funds purchased and securities sold under agreements to repurchase;
- Interest on note balances issued to the government treasury and on other borrowed money;
- Interest on mortgage debt and capital leases on bank premises, fixed assets and other real estate owned; and
- Interest on subordinated notes and debentures

Net interest income: Net interest income on a tax-equivalent basis is total interest income less total interest expense. The relationship between net interest income – the amount by which interest received exceeds interest paid and total assets is an important analytical tool in assessing a bank's ability to generate profits through the management of interest earning assets and interest bearing liabilities.

Non-interest Income: Non-interest income includes all other sources of income from fiduciary activities, service charges on deposits, gains or losses and commissions and fees on assets held in trading account, foreign exchange trading gains or losses, loan and security guarantees, derivative securities services and other off-balance sheet activities. These

categories of income have increased in relative importance for many banks as a result of deregulation's impact on the permissible financial services.

Other Expense: Three other types of expenses are deducted from adjusted operating income to arrive at pre-tax operating income. Overhead expense includes salaries and employee benefits, expenses of premises and fixed assets (net of rental income) and other non-interest operating expenses. The provision for loan and lease losses is the year to date amount allocated to loan and lease loss reserves (on the balance sheet). Remember that unexpected losses are charged against the balance sheet reserves account.

Gains or losses on the sale, exchange, redemption or retirement of securities other than those held in trading accounts are netted against pre-tax operating income to determine pre-tax operating income on a tax-equivalent basis. Security gains and losses can be an important element in measuring bank performance. The analyst should be aware that a bank can influence operating profit for a period through these securities transactions.

Income tax Expense: Income tax includes the total estimated federal, state, local, and foreign (if applicable) income taxes on operating income (including securities gains and losses).

Net Income: Income taxes are deducted from pretax operating income to arrive at net operating income. If there are any extraordinary items, defined as transactions that are both unusual in nature and not expected to recur, these are deducted/added, net of taxes, to determine net income.

3. The Cash flow statement:

In financial accounting, a cash flow statement is a financial statement that shows how changes in balance sheet accounts and income affect cash and cash equivalents, and breaks the analysis down to operating, investing and financing activities. Essentially, the cash flow statement is concerned with the flow of cash in and out of the business. The statement captures both the current operating results and the accompanying changes in the balance sheet. As an analytical tool, the statement of cash flows is useful in determining the short-term viability of a company, particularly its ability to pay bills. International Accounting Standard 7 (IAS7), is the International Accounting Standard that deals with cash flow statements. People and groups interested in cash flow statements include:

- Accounting personnel, who need to know whether the organization will be able to cover payroll and other immediate expenses
- Potential lenders or creditors, who want a clear picture of a company's ability to repay
- Potential investors, who need to judge whether the company is financially sound
- Potential employees or contractors, who need to know whether the company will be able to afford compensation
- Shareholders of the business.

The cash flow statement was previously known as the flow of funds statement. The cash flow statement reflects a firm's liquidity.

The cash flow statement is a snapshot of a firm's financial resources and obligations at a single point in time, and the income statement summarizes a firm's financial transactions over an interval of time. These two financial statements reflect the accrual basis

accounting used by firms to match revenues with the expenses associated with generating those revenues. The cash flow statement includes only inflows and outflows of cash and cash equivalents; it excludes transactions that do not directly affect cash receipts and payments. These non-cash transactions include depreciation or write-offs on bad debts or credit losses to name a few. The cash flow statement is a cash basis report on three types of financial activities: operating activities, investing activities, and financing activities. Non-cash activities are usually reported in footnotes.

The cash flow statement is intended to:

- provide information on a firm's liquidity and solvency and its ability to change cash flows in future circumstances
- provide additional information for evaluating changes in assets, liabilities and equity
- improve the comparability of different firms' operating performance by eliminating the effects of different accounting methods
- indicate the amount, timing and probability of future cash flows

The cash flow statement has been adopted as a standard financial statement because it eliminates allocations, which might be derived from different accounting methods, such as various timeframes for depreciating fixed assets

The cash flow statement is partitioned into three segments, namely:

- Cash flow resulting from operating activities;
- Cash flow resulting from investing activities;
- Cash flow resulting from financing activities.

The money coming into the business is called cash inflow, and money going out from the business is called cash outflow.

3. The Importance of Financial Statement:

Many business experts and accountants recommend that you prepare financial statements monthly; quarterly at a minimum. Some companies prepare them at least once a week, sometimes daily, to stay abreast of results. The more frequently a company prepares their financial statements, the sooner timely decisions can be made.

There are four types of financial statements; compiled, reviewed, audited, and unaudited:

- A compiled statement contains financial data from a company reported in a financial statement format by a certified public accountant (CPA); it does not include any analysis of the statement.
- The reviewed statement includes an analysis of the statement by a CPA in which unusual items or trends in the financial statement are explained.
- An audited statement (also prepared by a CPA) contains any analysis which includes confirmation with outside parties, physical inspection and observation, and transactions traced to supporting documents. An audited statement offers the highest level of accuracy.
- An unaudited statement applies to a financial statement prepared by the company which has not been compiled, reviewed, or audited by a outside CPA.

Small business owners must be aware that they may be required to submit financial statements in nine circumstances:

- Virtually all suppliers of capital, such as banks, finance companies, and venture capitalists, require these reports with each loan request, regardless of previous successful loan history. Banks may need CPA compiled or reviewed statements and, in some cases, audited statements. They may not accept company or individually prepared financial statements, unless they are backed by personal or corporate income. Typically, as a condition of granting a loan, a creditor may request periodic financial statements in order to monitor the success of the business and spot any possible repayment problems.
- Information from financial statements is necessary to prepare federal and state income tax returns. Statements themselves need not be filed.
- Prospective buyers of a business will ask to inspect financial statements and the financial/operational trends they reveal before they will negotiate a sale price and commit to the purchase.
- In the event that claims for losses are submitted to insurance companies, accounting records (particularly the Balance Sheet) are necessary to substantiate the original value of fixed assets.
- If business disputes develop, financial statements may be valuable to prove the nature and extent of any loss. Should litigation occur, lack of such statements may hamper preparation of the case.
- Whenever an audit is required--for example by owners or creditors--four statements must be prepared: a Balance Sheet (or Statement of Financial Position), Reconciliation of Equity (or Statement of Stockholder's Equity for corporations), Income Statement (or Statement of Earnings), and Statement of Cash Flows.
- A number of states require corporations to furnish shareholders with annual statements. Certain corporations, whose stock is closely held, that is, owned by a small number of shareholders, are exempt.
- In instances where the sale of stock or other securities must be approved by a state corporation or securities agency, the agency usually requires financial statements.
- The Securities and Exchange Commission (SEC) requires most publicly held corporations (such as those whose stock is traded on public exchanges) to file annual and interim quarterly financial reports.

4. Meaning of Financial Statement Analysis:

The process of critical evaluation of the financial information contained in the financial statements in order to understand and make decisions regarding the operations of the firm is called 'Financial Statement Analysis'.

The term "Financial Analysis," also known as analysis and interpretation of financial statements refer to the process of determining financial strength and weaknesses of the firm

by establishing strategic relationship between the items of the balance sheet, income statement and other operative data.

According to Metcalf and Titard, “Analyzing financial statements is the process of evaluating the relationship between the component parts of the financial statements to obtain a better understanding of a firm’s position and performance.” In the words of Myers, “Financial statement analysis is largely a study of relationship among the various financial factors in a business as disclosed by a single set of statements, and a study of the trend of these factors as shown in a series of statements”.

5. Objective of Financial Statement Analysis:

Analysis of financial statements reveals important facts concerning managerial performance and the efficiency of the firm. Broadly speaking, the objectives of the analysis are to apprehend the information contained in financial statements with a view to know the weaknesses and strengths of the firm and to make a forecast about the future prospects of the firm thereby, enabling the analysts to take decisions regarding the operation of, and further investment in, the firm.

To be more specific, the analysis is undertaken to serve the following objectives:

- To assess the current profitability and operational efficiency of the firm as a whole as well as its different departments so as to judge the financial health of the firm.
- To ascertain the relative importance of different components of the financial position of the firm
- To identify the reasons for change in the profitability/financial position of the firm
- To judge the ability of the firm to repay its debt and assessing the short term as well as the long-term liquidity position of the firm.

Through the analysis of financial statements of various firms, an economist can judge the extent of concentration of economic power and pitfalls in the financial policies pursued. The analysis also provides the basis for many governmental actions relating to licensing, controls, fixing of prices, ceiling on profits, dividend freeze, tax subsidy and other concessions to the corporate sector.

It also helps the management in self-appraisal and the shareholders (owners) and others to judge the performance of the management.

6. Significance of Financial Analysis:

Financial analysis is the process of identifying the financial strengths and weaknesses of the firm by properly establishing relationships between the various items of the balance sheet and the profit and loss account. Financial analysis can be undertaken by management of the firm or by parties outside the firm, viz. owners, trade creditors, lenders, investors, labour unions, analysts and others (Jagels, et al., 2003).

The nature of analysis will differ depending on the purpose of the analyst. A technique frequently used by an analyst need not necessarily serve the purpose of other analysts because

of the difference in the interests of the analysts. Financial analysis is useful and significant to different users in the following ways :

- Finance Manager: Financial analysis focuses on the facts and relationships related to managerial performance, corporate efficiency, financial strengths and weaknesses and creditworthiness of the company. A finance manager must be well equipped with the different tools of analysis to make rational decisions for the firm. The tools for analysis help in studying accounting data so as to determine the continuity of the operating policies, investment value of the business, credit ratings and testing the efficiency of operations. The techniques are equally important in the area of financial control, enabling the finance manager to make constant reviews of the actual financial operations of the firm to analyse the causes of major deviations, which may help in corrective action wherever indicated.
- Top Management: The importance of financial analysis is not limited to the finance manager alone. Its scope of importance is quite broad who includes top management in general and the other functional managers. Management of the firm would be interested in every aspect of the financial analysis. It is their overall responsibility to see that the resources of the firm are used most efficiently, and that the firm's financial condition is sound. Financial analysis helps the management in measuring the success or otherwise of the company's operations, appraising the individual's performance and evaluating the system of internal control.
- Short-term Creditors: A creditor, through an analysis of financial statements, appraises not only the urgent ability of the company to meet its obligations, but also judges the probability of its continued ability to meet all its financial obligations in future. Creditors are particularly interested in the firm's ability to meet their claims over a very short period. Their analysis will therefore, confine to the evaluation of the firm's liquidity position.
- Long-Term Creditors: Suppliers of long-term debt are concerned with the firm's long-term solvency and survival. They analyse the firm's profitability overtime, its ability to generate cash to be able to pay interest and repay the principal and the relationship between various sources of funds (capital structure relationships). Long-term lenders do analyse the historical financial statements. However, they place more emphasis on the firm's projected financial statements to make analysis about its future solvency and profitability.
- Investors: Investors, who have invested their money in the firm's shares, are interested about the firm's earnings. As such, they concentrate on the analysis of the firm's present and future profitability. They are also interested in the firm's capital structure to ascertain its influences on firm's earning and risk. They also evaluate the efficiency of the management and determine whether a change is needed or not. However, in some large companies, the shareholders' interest is limited to decide whether to buy, sell, or hold the shares.

- Labour Unions: Labour unions analyze the financial statements to assess whether it can presently afford a wage increase and whether it can absorb a wage increase through increased productivity or by raising the prices.
- Others: The economists, researchers, etc. analyze the financial statements to study the present business and economic conditions. The government agencies need it for price regulations, taxation, and other similar purposes.

7. Types of Analysis:

Financial statements can be subjected to two types of analysis. They are:

- Trend analysis or dynamic analysis, which is made by analyzing the financial statements over a period of years. This indicates the trend of such variables, as sales, cost of production (or operation) profits, assets, and liabilities. For this purpose, comparative financial statements are prepared horizontally.
- Structural analysis or static analysis, which is made by analyzing a single set of financial statements as are prepared on a particular date. It is called structural analysis, because the relationship between different accounting variables is studied as, for example, the ratio of net profit to sales or the ratio of liquid assets to current liabilities.

8. Tools for Financial Analysis:

The end products of the accounting process are balance sheet, income statement, and statement of cash flows. These are supplemented by detailed explanation in the Director's Report, annexure, and schedules. The information contained in the financial statements are arranged in such a manner that enables analyst to make inferences about the working and financial health of the enterprise.

The numbers given in the financial statements are not of much use to the decision maker. These numbers are to be analyzed over a period of time or in relation to other numbers so that significant conclusions could be drawn regarding the strengths and weaknesses of a business enterprise. The tools of financial analysis help in this regard.

A number of methods can be used for the purpose of analysis of financial statements.

These are also termed as techniques or tools of financial analysis. Out of these, and enterprise can choose those techniques, which are suitable to its requirements. The principal techniques of financial analysis are:

- Comparative statements,
- Common-size statements,
- Trend Analysis
- Cash flow analysis and
- Ratio analysis

9. The Practical Part:

The researchers designed a questionnaire and distributed to a sample of Lecturers of Accounting in University of Primorska, and they used Excel functions to evaluate the role of financial statements analysis, Table 1 shows the gathered answers of their employees.

Table (1) The degree of Acceptance

Statement	The Degree of Acceptance				
	S. Agree	Agree	Neutral	Disagree	S. Disagree
Q ₁	9	6	3	2	0
Q ₂	8	8	2	2	0
Q ₃	2	12	5	0	1
Q ₄	6	6	2	3	3
Q ₅	9	5	3	2	1
Q ₆	11	4	2	3	0
Q ₇	8	6	1	2	3
Q ₈	7	7	0	5	1
Q ₉	9	6	2	1	2
Q ₁₀	10	4	3	2	1
Q ₁₁	8	6	2	1	3
Q ₁₂	6	7	1	4	2
Q ₁₃	12	6	1	1	0
Q ₁₄	9	9	0	0	2
Q ₁₅	7	5	2	4	2
Q ₁₆	9	5	4	1	1

Fig. (1) shows the gathered answers in bar charts .

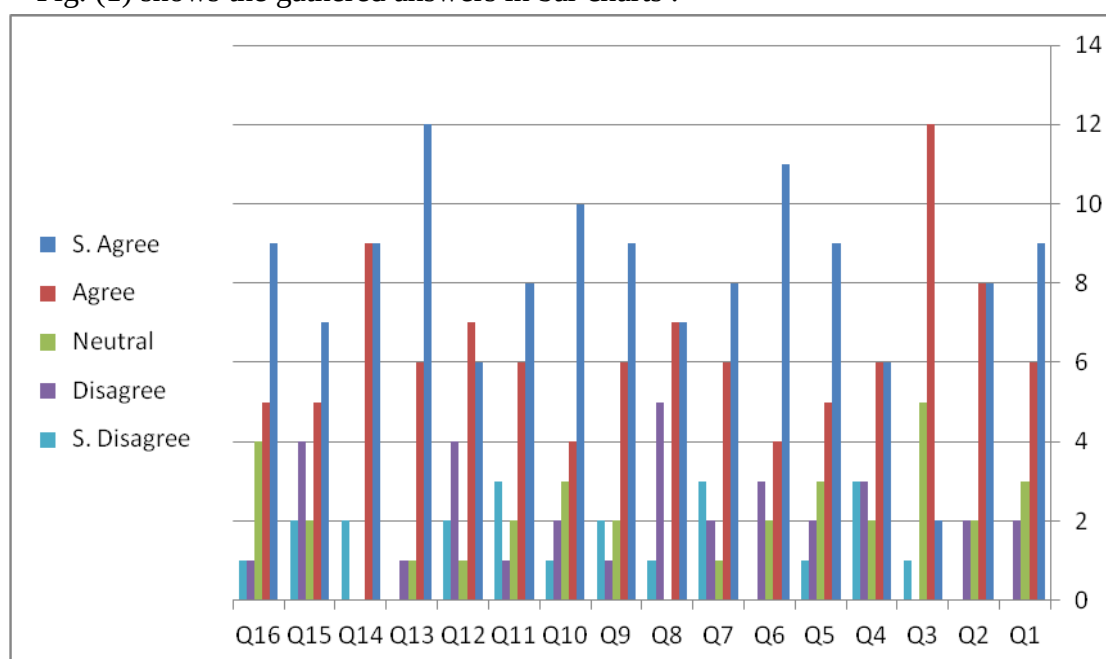


Fig. (1) The degree of acceptance

Table (2) and Figure (2) showed the role of financial statment analysis on organization

Table (2): The Evaluation of Financial Statement Analysis

	S. Agree	Agree	Neutral	Disagree	S. Disagree
The Role of Financial Statement Analysis on Organization	40.6%	31.9%	10.3%	10.3%	6.9%

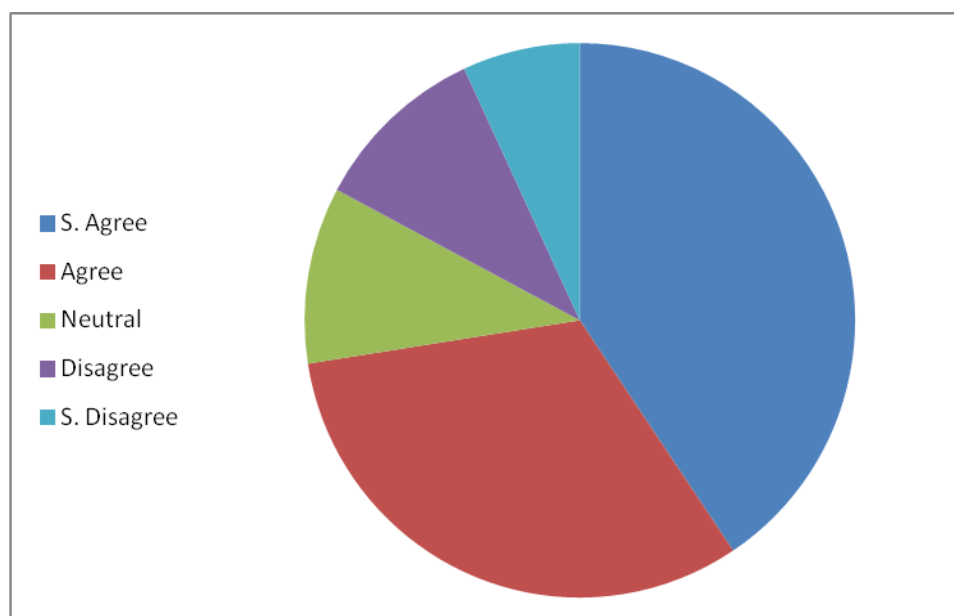


Fig (2) The Evaluating of The Role of Financial Statement Analysis

According to the results above :

There is a strong relation between the financial statement analysis and the performance of the organization according to answers of the sample .

- There are more than (72%) of the accountants agreed that there are relation between the financial statement analysis and the performance of the organization.
- Approximately , (18%) of the accountants didn't believe that there is a relation between the financial statement analysis and the performance of the organization.
- (10%) of the accountants didn't have an idea about the relation between the financial statement analysis and the performance of the organization.

10. Conclusions :

- The analyzing of financial statement in the organization is one the most important tools.
- The financial statement analyses can help the manager to make a good decision in the organization.
- There are multi types of analyzing tools, and the decision maker can choose the best one of them according to his vision.

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